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County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STLC00099 Hearing Date: August 18, 2026 Dept: 26

TENTATIVE RULING:

Plaintiff Malcolm Bull's Motion to Compel Arbitration, for Court to Pick Arbitration Forum, for an Order Confirming Defendants Car Search USA and Westlake Services, LLC are in Material Breach of the Arbitration Clause, an Order for Fees and Costs Associated with Arbitration, and Request for Stay, is Granted in part and Continued in part, as follows:

The request to compel Defendants Car Search USA and Westlake Services, LLC dba Westlake Financial Services to arbitration before JAMS, or in the alternative, the American Arbitration Association, and to stay this action pending arbitration is Granted. Defendants Car Search USA and Westlake Services, LLC dba Westlake Financial Services are Ordered to arbitration before JAMS, or in the alternative, the American Arbitration Association.

The Court Orders this action Stayed pending arbitration, except for the continued hearing set below.

The request to find that Defendants Car Search USA and Westlake Services, LLC dba Westlake Financial Services are in breach of the arbitration agreement and are in default of the arbitration is Granted. Defendants Car Search USA and Westlake Services, LLC dba Westlake Financial Services are in material breach of the agreement and in default of arbitration.

The Court Orders Defendants Car Search USA and Westlake Services, LLC dba Westlake Financial Services to pay Plaintiff's reasonable attorney's fees and costs related to arbitration pursuant to Section 1281.97(b)(2), with the amount awarded to be determined by the arbitrator.

The Court Orders Defendants Car

Search USA and Westlake Services, LLC dba Westlake Financial Services to pay Plaintiff's reasonable expenses, including attorney's fees and costs, incurred as a result of the material breach pursuant to Section 1281.99(a). The Court Continues the determination of the amount to be awarded under Section 1281.99(a) to 09/22/2026 at 10:00 am in Department 26 at the Spring Street Courthouse. By 08/25/2026, Plaintiff is to file and serve a supplemental declaration not to exceed three (3) pages regarding the award of reasonable attorney's fees and costs incurred as a result of the breach. Defendants may file and serve an opposition no longer than three pages by 09/15/2026.

Status Conference Re: Arbitration

is set for 02/16/2027 at 9:30 am in Department 26 at the Spring Street Courthouse.

Moving party to give notice.

Analysis:

On January 7, 2026, Plaintiff Malcolm Bull ("Plaintiff") filed the instant action against Defendants Car Search USA ("Defendant Car Search"), Westlake Services, LLC dba Westlake Financial Services ("Defendant Westlake"), Merchants Bonding Company (Mutual) ("Defendant Merchants"). The Complaint alleges causes of action for (1) Violation of Consumers Legal Remedies Act, Civil Code § 1750 et seq; (2) Violation of California Business and Professions Code § 17200, et seq., Unlawful Acts or Practices; (3) Claim Against Surety; and (4) Violation of Code of Civil Procedure §§ 1281.97 & 1281.99.

Defendant Merchants

filed its Answer on March 4, 2026; Defendant Car Search filed a General Denial on March 16, 2026. Defendant Westlake has not answered. On May 13, 2026, Plaintiff filed the instant Motion to Compel Arbitration, for Court to Pick Arbitration Forum, for an Order Confirming Defendants Car Search USA and Westlake Services, LLC are in Material Breach of the Arbitration Clause, an Order for Fees and Costs Associated with Arbitration, and Request for Stay. Defendant Car Search filed a Limited Opposition on August 4, 2026. Defendant Westlake has neither appeared in the action, nor filed an opposition to the instant Motion.

Discussion

Plaintiff moves for an order compelling Defendants Car Search and Westlake to arbitrate this matter pursuant to either Code of Civil Procedure section 1281.2 or the Federal Arbitration Act ("the FAA") at 9 U.S.C. section 4. In California, state procedural law applies by default to motions to compel arbitration. (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177.) The FAA's procedural provisions only apply when expressly incorporated into the arbitration agreement by the parties. (*Ibid.*) "Arbitration under the [Federal Arbitration] Act in a matter of consent, not coercion, and the parties are generally free to structure their arbitration agreements as they see fit." (*Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 469.)

Here, the arbitration agreement does not expressly incorporate the FAA, and therefore is subject to Code of Civil Procedure section 1281.2, which states in relevant part:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

(a) The right to compel arbitration has been waived by the petitioner; or

(b) Grounds exist for the revocation of the agreement.

(Code Civ. Proc., § 1281.2, subds. (a)-(b).) The parties' arbitration agreement states in relevant part:

Either you or we may choose to have any dispute between you and us decided by arbitration, and not by a court or by jury trial. You give up any right that you may have to participate as a class representative or class member in any class action or class arbitration against us if a dispute is arbitrated. In arbitration, discovery and rights to appeal

are generally more limited than in a judicial proceeding, and other rights that you would have in court may not be available. You or we (including any assignee) may elect to resolve any Claim by neutral, binding arbitration and not by a court action. "Claim" means any claim, dispute or controversy between you and us or our employees, agents, successors, assigns or affiliates arising from or relating to: 1. The credit application; 2. The purchase of the Property; 3. The condition of the Property; 4. This Contract; 5. Any insurance, maintenance, service, or other contracts you purchased in connection with this Contract; or 6. Any related transaction, occurrence or relationship....

(Motion, Heydari Decl., Exh. 1, p. 6, ¶ "Arbitration Provision".) The arbitration provision referenced above broadly applies to Plaintiff's "credit application, purchase of Property, condition of the Property, this Contract...." (Ibid.) Plaintiff's claims arise specifically with respect to Plaintiff's purchase of and the condition of the vehicle purchased pursuant to the Retail Installment Sales Contract. (Compl., ¶¶16-39.) The agreement with the arbitration provision is between Plaintiff as Buyer and Defendant Car Search as Seller, and was assigned by Seller on the date of execution to Defendant Westlake, which signed to acknowledge the assignment. (Bull Decl., Exh. 1, p. 9.) Defendant Westlake is thus the holder of the agreement and the entity to whom Plaintiff has been making payments for the subject vehicle. (Motion, Bull Decl., ¶4.) The agreement provides that any holder of the agreement is subject to all claims and defenses that could be asserted against the Seller. Accordingly, Plaintiff has demonstrated the existence of a written agreement to arbitrate a controversy that encompasses the claims in this action and binds Defendant Car Search and Defendant Westlake. The request to compel arbitration is granted. The request for a stay of this action pending arbitration is granted pursuant to Code of Civil Procedure section 1281.4.

Next, Plaintiff moves for an order that the parties are to arbitrate before JAMS or the American Arbitration Association, pursuant to the terms of the arbitration agreement. The agreement specifically provides that the party electing arbitration may choose the American Arbitration Association ("AAA"), JAMS, or National Arbitration and Mediation ("NAM"). (Motion, Heydari Decl., Exh. 1, p. 6, ¶ "Arbitration Provision".) Accordingly, the Court grants Plaintiff's request to order the arbitration before JAMS, or in the alternative, AAA.

Third, Plaintiff seeks orders confirming that Defendants

Cars Search and Westlake are in breach of the arbitration agreement, and that they pay all of Plaintiff's reasonable attorney's fees and costs related to arbitration. These requests are made pursuant to Code of Civil Procedure Section 1281.97, which states in relevant part: "...if the fees or costs to initiate an arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel arbitration under Section 1281.2." (Code Civ. Proc., § 1281.97, subd. (a)(1).) Plaintiff's counsel sent a pre-filing demand letter to Defendants Car Search and Westlake on April 15, 2025. (Id. at ¶4 and Exh. 2.) Plaintiff's counsel did not receive a response and filed an arbitration request with JAMS on July 8, 2026. (Id. at ¶¶6-7.) The request was accepted ten days later with a request to the parties for payment, which Plaintiff submitted. (Id. at ¶8 and Exh. 3.) JAMS sent a Notice of Intent to Initiate on July 23, 2025, again asking for payment, which Defendants again ignored. (Id. at ¶9 and Exh. 4.) After JAMS' third request for payment went unanswered by Defendants, it closed the case on or around October 30, 2025. (Id. at ¶¶10-11 and Exh. 5.) Defendants Car Search and Westlake make no showing that their failure to pay resulted from a "good faith mistake, inadvertence, or other excusable neglect." (See *Hohenshelt v. Superior Ct.* (2025) 18 Cal. 5th 310, 323.) Rather, Defendants' refusal to pay the contractually required fees has resulted in months of unexplained delay, caused the arbitration proceedings to be closed, and required Plaintiff to file, and the Court to decide, this motion. Based on this evidence, the Court finds that Defendants Cars Search and Westlake were in material breach of the arbitration agreement and are in default of the arbitration.

Finally, Plaintiff asks for an order that Defendants Cars Search and Westlake pay all of Plaintiff's reasonable attorney's fees and costs related to arbitration, citing subdivision (b)(2), which allows the consumer to "compel arbitration in which the drafting party shall pay reasonable attorney's fees and costs related to the arbitration." (Code Civ. Proc., §1281.97(b)(2).) Plaintiff also seeks an order for Defendants, as the drafting party, to pay Plaintiff's reasonable expenses incurred "as a result of the material breach." (Mot., pp. 2, 11; Code Civ. Proc., § 1281.99(a).) Defendants Cas Search and Westlake are each a "drafting party." (Code Civ. Proc., § 1280(e).) Defendant Cars Search's limited opposition to the instant Motion argues that the arbitration provision provides for how arbitration costs will be handled. (See Motion, Heydari Decl., Exh. 1, p. 6, ¶ "Arbitration Provision".) But the

opposition does not address why Defendants Cars Search and Westlake should not be ordered to pay Plaintiff's fees and costs as provided for in the relevant statutes, given their breach and default. Plaintiffs have established the material breach, as discussed above, and are entitled to an order for payment of their fees and costs as set forth in Sections 1281.97(b)(2) and 1281.99(a). The Court continues the hearing on the amount to be awarded under Section 1281.99(a) as set forth below. The arbitrator may determine the reasonable fees and costs to be awarded under Section 1281.97(b)(2).

Conclusion

Plaintiff Malcolm Bull's Motion to Compel Arbitration, for Court to Pick Arbitration Forum, for an Order Confirming Defendants Car Search USA and Westlake Services, LLC are in Material Breach of the Arbitration Clause, an Order for Fees and Costs Associated with Arbitration, and Request for Stay, is Granted in part and Continued in part, as follows:

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